

Tata Consultancy Services

Football Field and Valuation Summary

NSE: TCS · INR billions · per-share values in INR · as of market data 12 Sep 2026 · financials FY2026 (year to 31 Mar 2026)

Everything Projects 2 to 4 produced about what a business like TCS is worth, put on one page, plus the DCF the football field needed and did not have. Seven methodologies, each a range rather than a point, against the 12 September 2026 share price.

What this is

- A compact five-year DCF in INR: local risk-free rate, beta regressed against the NIFTY 50, terminal value by perpetuity growth and by exit multiple with each checking the other, and a live WACC-by-growth sensitivity grid.

How it is built

- Trading-multiple ranges carried in from Project 3 (peer 25th to 75th percentile) and precedent-transaction ranges from Project 4, each flagged for how far it can be trusted.
- The beta regression Project 2 used for Apple was run for TCS and rejected: Indian shares against the S&P 500 give R-squared of 0.01. The WACC sheet records the rejected regressions rather than deleting them.
- Eighteen integrity checks, including one that fails if the forecast assumes growth above anything TCS has recently achieved.

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Key outputs (live)

DCF value per share (INR)	1,953
Current share price (INR)	2,201
Recommended range (INR)	1,676
Recommended midpoint (INR)	2,145
WACC (INR)	13.3%
Terminal value as % of EV	69.8%

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Sources

TCS annual financials FY2023-FY2026 (year to 31 March), Yahoo Finance fundamentals for TCS.NS, restating the consolidated annual report.

Share price, 52-week range and share count: Yahoo Finance, 12 September 2026 — the same market date as Projects 3 and 4.

Risk-free rate: India 10-year G-Sec at 7.02%, 11 September 2026.

Equity risk premium: 4.5% mature-market premium (as used in Project 2) plus a 2.2% India country risk premium (Damodaran).

Beta: five years of weekly returns to 12 September 2026, TCS against the NIFTY 50, 254 observations.

Trading-multiple ranges from Project 3; precedent-transaction ranges from Project 4.

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Market data, capital structure, cost of capital and forecast drivers

MARKET DATA (12 SEPTEMBER 2026)

TCS share price (INR)	2,200.80	Yahoo Finance, NSE close 12 Sep 2026. Same price as Projects 3 and 4
52-week high (INR)	3,350.00	Yahoo Finance
52-week low (INR)	1,976.80	Yahoo Finance
Shares outstanding (m)	3,618	Project 3
USD per INR	0.010467	USDINR 95.54; used only to restate Project 3's US\$ net cash
Net cash (US\$m, from Project 3)	3,020	Project 3 reports net debt of US\$(3,020)m
Net cash (INR bn)	288.5	Restated at the 12 Sep 2026 rate

COST OF CAPITAL (INR, LOCAL CAPM)

Risk-free rate: India 10-year G-Sec	7.0%	7.02% on 11 Sep 2026. Local-currency cash flows require a local-currency risk-free rate
Raw beta (TCS vs NIFTY 50, 5y weekly)	0.907	254 weekly observations to 12 Sep 2026; R-squared 0.28. See the WACC sheet
Blume-adjusted beta	0.938	0.67 x raw + 0.33, as banks apply it; pulls the estimate toward 1.0
Mature-market equity risk premium	4.5%	Same 4.5% used in Project 2, for consistency across the portfolio
India country risk premium	2.2%	Damodaran country risk premium for India (Baa3/BBB-). Verify against the current table before reuse
India equity risk premium	6.7%	Mature-market premium plus country risk
Cost of equity	13.3%	CAPM in INR
Debt as % of capital	-	TCS carries no meaningful borrowing and is net cash, so WACC collapses to the cost of equity
WACC (INR)	13.3%	Used to discount INR cash flows

FORECAST DRIVERS

Tax rate on EBIT	25.5%	Between the FY2025 and FY2026 effective rates
D&A as % of revenue	2.1%	FY2026 actual: 2.08%
Capex as % of revenue	1.6%	FY2026 actual: 1.55%. An asset-light business
Increase in working capital as % of incremental revenue	15.0%	Receivables-driven; a growth business absorbs cash here
Terminal growth (INR, nominal)	5.5%	Roughly Indian long-run inflation plus modest real growth; well below nominal GDP
Exit EV/EBITDA (cross-check only)	11.0x	Used to test the perpetuity assumption, not to value the company
Mid-year discounting convention	1	1 = cash flows arrive mid-year (periods 0.5, 1.5, ...); 0 = year-end

ANALYST CONSENSUS (RESEARCH-TARGET BAR)

Analyst target — low (INR)	1,775.00	Lowest of 43 published 12-month targets, 12 Sep 2026
Analyst target — average (INR)	2,943.65	Consensus average; the figure most often quoted back in a meeting

Analyst target — high (INR)	3,900.00	Highest published target
Number of analysts covering	43	Coverage depth. A thin consensus is worth less than a broad one

Everything above is a hard-coded input (blue). Every figure on every other sheet is a formula. The DCF is deliberately compact: five forecast years, one case, and a sensitivity grid — its job is to produce one honest bar on the football field, not to replace Project 2's full treatment.

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Beta estimated where the regression is valid, and a record of the regressions that were rejected

BETA ESTIMATE USED

Regression	Raw beta	R-squared	
TCS vs NIFTY 50 (INR)	0.907	0.28	Accepted: same market, same currency, same trading hours

REGRESSIONS RUN AND REJECTED

Regression	Raw beta	R-squared	
TCS vs S&P 500 (USD returns)	0.140	0.01	Rejected: R-squared 0.01 — no explanatory power
Infosys vs S&P 500 (USD returns)	0.240	0.02	Rejected: R-squared 0.02
HCLTech vs S&P 500 (USD returns)	0.062	0.00	Rejected: R-squared 0.00
Wipro vs S&P 500 (USD returns)	0.326	0.04	Rejected: R-squared 0.04
Accenture vs S&P 500	0.975	0.24	US-listed peer: regression behaves normally
Cognizant vs S&P 500	0.908	0.23	US-listed peer: regression behaves normally
EPAM vs S&P 500	1.485	0.16	US-listed peer: regression behaves normally

Project 2 built Apple's beta by regressing ten peers against the S&P 500, unlevering, taking the median and relevering. The same recipe applied to TCS breaks: Indian shares regressed against the S&P 500 give betas of 0.06 to 0.33 with R-squared of 0.00 to 0.04, because the two markets trade in different hours and different currencies. A beta with no explanatory power is not a conservative beta, it is a wrong one. The regression is therefore run in the market where TCS actually trades, against the NIFTY 50, in INR — which is also why the whole DCF is built in INR.

COST OF CAPITAL BUILD

Risk-free rate (India 10-year G-Sec)	7.0%
Raw beta	0.907
Blume-adjusted beta	0.938
India equity risk premium	6.7%
Cost of equity	<u>13.3%</u>
WACC (INR)	<u>13.3%</u>

TCS is net cash, so there is no debt tranche to weight and WACC equals the cost of equity. Stating that explicitly is better than building a capital-structure table whose debt weight is zero.

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INR billions · fiscal year to 31 March · actuals in blue, forecast driven off the Inputs sheet

UNLEVERED FREE CASH FLOW

	FY2023A	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue	2,254.6	2,408.9	2,553.2	2,670.2	2,750.3	2,860.3	3,003.3	3,168.5	3,358.6
Growth		6.8%	6.0%	4.6%	3.0%	4.0%	5.0%	5.5%	6.0%
EBIT	543.8	594.3	622.9	670.2	682.1	709.4	750.8	792.1	839.7
EBIT margin	24.1%	24.7%	24.4%	25.1%	24.8%	24.8%	25.0%	25.0%	25.0%
Less: tax on EBIT	(139.7)	(152.4)	(157.6)	(164.9)	(173.9)	(180.9)	(191.5)	(202.0)	(214.1)
NOPAT	404.0	441.9	465.3	505.3	508.1	528.5	559.4	590.1	625.5
Plus: depreciation and amortisation	50.2	49.9	52.4	55.6	57.8	60.1	63.1	66.5	70.5
Less: capital expenditure	(31.0)	(26.7)	(39.4)	(41.5)	(44.0)	(45.8)	(48.1)	(50.7)	(53.7)
Less: increase in working capital		(23.2)	(21.6)	(17.5)	(12.0)	(16.5)	(21.5)	(24.8)	(28.5)
Unlevered free cash flow	423.2	441.8	456.7	501.9	509.9	526.3	552.9	581.2	613.8
Memo: EBITDA	627.1	677.6	713.7	722.7	739.8	769.4	813.9	858.7	910.2

DISCOUNTING

Discount period (years)	0.5	1.5	2.5	3.5	4.5
Discount factor	0.939	0.829	0.732	0.646	0.570
PV of free cash flow	479.0	436.4	404.6	375.4	349.9

TERMINAL VALUE — TWO METHODS, EACH CHECKING THE OTHER

Terminal value at FY2031 (perpetuity growth)	8,299.7
PV of terminal value (perpetuity growth)	4,731.3
Terminal value at FY2031 (exit multiple)	10,012.1
PV of terminal value (exit multiple)	5,707.5
Growth implied by the exit multiple	6.8% <i>If this is far from t</i>
Exit multiple implied by terminal growth	9.1x

VALUATION BRIDGE (PERPETUITY-GROWTH METHOD)

Sum of PV of forecast free cash flow	2,045.3
PV of terminal value	4,731.3
Enterprise value	6,776.7
Terminal value as % of enterprise value	69.8% <i>Above roughly 8C</i>
Plus: net cash	288.5
Equity value	7,065.2
Shares outstanding (m)	3,618
Value per share (INR)	1,952.74
Current share price (INR)	2,200.80

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INR billions · fiscal year to 31 March · actuals in blue, forecast driven off the Inputs sheet

UNLEVERED FREE CASH FLOW

Market price vs DCF value

12.7% Positive = the ma

SENSITIVITY: VALUE PER SHARE (INR)

Terminal growth \ WACC	12.3%	12.8%	13.3%	13.8%	14.3%
4.5%	2,005	1,893	1,793	1,704	1,625
5.0%	2,104	1,979	1,868	1,770	1,683
5.5%	2,218	2,076	1,953	1,844	1,748
6.0%	2,350	2,188	2,049	1,927	1,820
6.5%	2,504	2,318	2,159	2,022	1,902

The shaded cell is the base case and reconciles to the bridge above. The grid is live: every cell rediscunts the same five forecast cash flows at its own WACC and regrows the terminal value at its own rate. The spread across the grid — not the single base-case number — is what becomes the DCF bar on the football field.

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Every bar, its source, what it is worth trusting, and the weight it carries in the recommended range

Methodology	Low (INR)	High (INR)	Midpoint	Width	Weight	Source	
52-week trading range	1,977	3,350	2,663	1,373		Market	Where the shares have actually changed hands. Context, not a valuation, so it carries no weight.
Analyst price targets (43)	1,775	3,900	2,838	2,125	10.0%	Consensus	Published 12-month targets. Weighted lightly: the analysts are reading the same filings as everyone else, and targets lag the price.
DCF — WACC and growth sensitivity	1,625	2,504	2,064	880	35.0%	Project 5	Low and high are the corners of the sensitivity grid: WACC plus or minus 100bp against terminal growth plus or minus 100bp.
Trading comps — EV/CY2027 revenue	1,242	1,745	1,494	503	15.0%	Project 3	Peer 25th to 75th percentile, calendarised to TCS's March year. The forward multiple institutional investors quote.
Trading comps — EV/LTM EBITDA	1,652	2,478	2,065	826	15.0%	Project 3	Peer 25th to 75th percentile. No estimates involved, so no forecast risk.
Trading comps — P/E (CY2027)	1,874	2,689	2,282	815	15.0%	Project 3	Equity multiple; consistent with TCS's net-cash balance sheet, which flatters EV multiples.
Precedents — EV/LTM revenue	1,428	2,682	2,055	1,254	5.0%	Project 4	Illustrative. Fourteen deals, none remotely TCS's size, struck when the sector traded far higher. Weighted down accordingly.
Precedents — EV/LTM EBITDA	2,862	3,532	3,197	670	5.0%	Project 4	Illustrative and the weakest bar on the page: five disclosed observations, all mid-cap, all pre-2023.
Total weight					100.0%		

RECOMMENDED RANGE (WEIGHTED)

Recommended value per share (INR)	1,676	2,614	2,145
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Low, high and midpoint, each weighted by the column G weights. Change a weight and this line moves: that is the conversation with the client, and it is better had in the open than hidden inside a judgement.

CONCLUSION

Current share price (INR)	2,200.80
Low across all methodologies	1,242
High across all methodologies	3,900
Median of the methodology midpoints	2,173
Recommended midpoint (weighted)	2,145
Market price vs the recommended midpoint	2.6%

* The bars do not agree, and a football field that did agree would be hiding something. The useful reading is which methods cluster: the DCF and the three trading-comps bars all land between roughly 1,200 and 2,700, and the share price sits in the upper half of that cluster.

- *The weights are judgement and they are on the page as inputs rather than buried in a formula. Trading comps carry 45% between three multiples because they need no forecast; the DCF carries 35% because it is the only method that values TCS rather than its peer group; precedents carry 10% because of the size and cycle mismatch; analyst targets carry 10% because they recycle public information; the 52-week range carries nothing because it is context.*

- *The two precedent bars sit above everything else. Part of that is a genuine control premium and part is the cycle — the deals were struck when IT services traded at 20-30x earnings and the sector has since de-rated to 10-15x. Project 4's notes flag this; it is repeated here because a reader looking only at this page would otherwise take the precedent bars at face value.*

- *The DCF and the trading comps are built on completely different logic — one discounts TCS's own cash flows at an INR cost of capital, the other asks what the market pays for comparable businesses today — and they overlap heavily. That agreement is the most informative thing on the page.*

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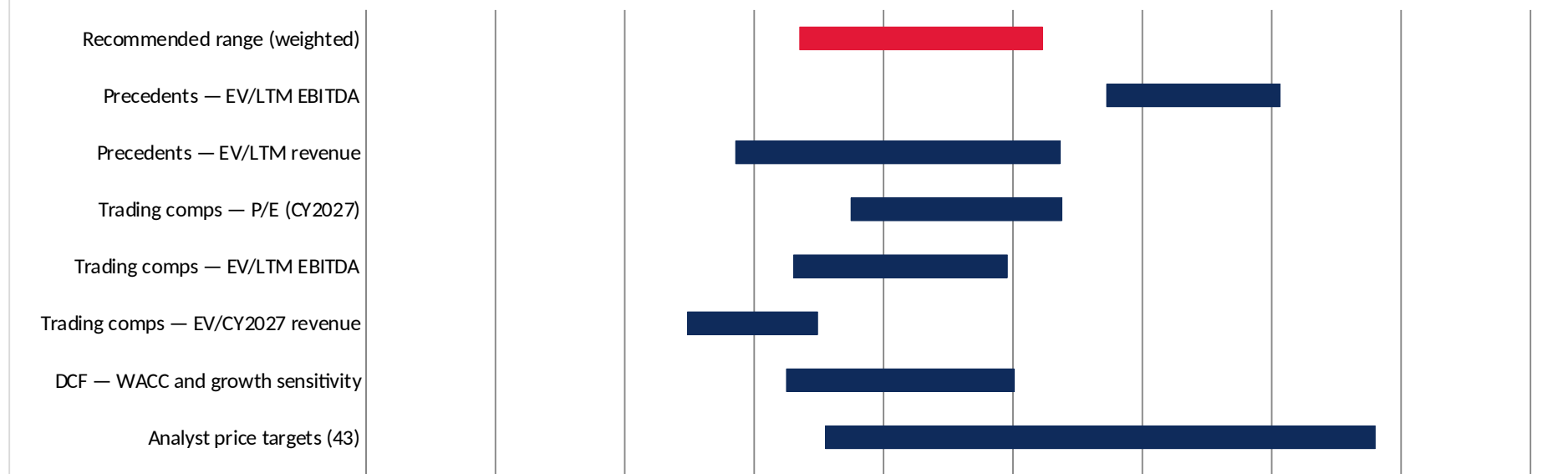
Implied value per share (INR) by methodology · bar = the range, not a point estimate

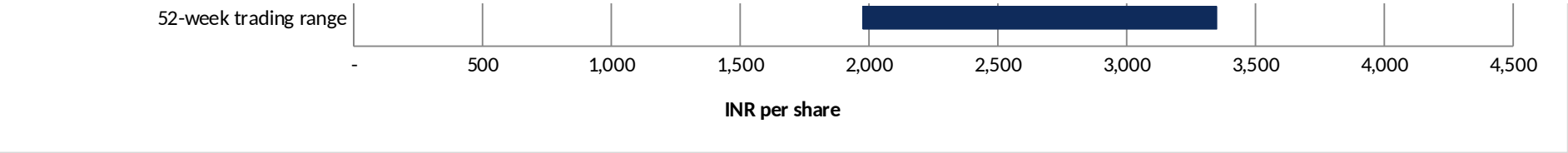
CHART DATA (linked from Ranges)

Methodology	Base (invisible)	Span	Low	High
52-week trading range	1,977	1,373	1,977	3,350
Analyst price targets (43)	1,775	2,125	1,775	3,900
DCF — WACC and growth sensitivity	1,625	880	1,625	2,504
Trading comps — EV/CY2027 revenue	1,242	503	1,242	1,745
Trading comps — EV/LTM EBITDA	1,652	826	1,652	2,478
Trading comps — P/E (CY2027)	1,874	815	1,874	2,689
Precedents — EV/LTM revenue	1,428	1,254	1,428	2,682
Precedents — EV/LTM EBITDA	2,862	670	2,862	3,532
Recommended range (weighted)	1,676	938	1,676	2,614

Current share price: INR 2,200.80 (12 Sep 2026)

TCS — implied value per share (INR)





The first series is deliberately unfilled: each bar floats from its low to its high, which is what makes this a football field rather than a stacked bar chart. The final bar, in the accent colour, is the weighted recommended range. Read the overlap between bars, not any single bar.

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Every check must read TRUE

INTEGRITY CHECKS

WACC exceeds terminal growth	TRUE
Enterprise value ties to the sum of its parts	TRUE
Equity value ties to EV plus net cash	TRUE
DCF value per share is positive	TRUE
Terminal value is between 50% and 90% of EV	TRUE
The two terminal-value methods are within 35% of each other	TRUE
Base-case sensitivity cell reconciles to the bridge	TRUE
Every forecast free cash flow is positive	TRUE
Forecast revenue growth never exceeds the historical maximum	TRUE
Every football-field bar is ordered low to high	TRUE
Every bar has positive width	TRUE
Methodology weights sum to 100%	TRUE
Recommended range is ordered low <= mid <= high	TRUE
Recommended range sits inside the overall range of methods	TRUE
Analyst consensus bar is ordered low <= average <= high	TRUE
Chart data ties to the Ranges sheet	TRUE
Share price and share count match Projects 3 and 4	TRUE
Current price sits inside the overall range	TRUE

MODEL STATUS

MODEL OK

The growth-discipline check is the unusual one: it fails if the forecast assumes TCS grows faster than it has in any of the last three years. A DCF that quietly solves for the current share price by lifting growth is the most common way this analysis goes wrong, and a check is a cheaper defence than a reviewer.